I. Introduction to Electronic Business

Definition:

Electronic Business (E-Business) means conducting ALL business activities - buying, selling, serving customers, collaborating with partners, managing internal operations - using the Internet and other electronic networks.

Meaning

- **E-Business** = use of information & communication technology (ICT) to run and improve the whole business.
- The term was popularised by IBM in 1997 ("e-business").
- It covers front-office (customers, sales) and back-office (production, finance, HR, supply chain).
- Business processes become digital, faster, cheaper and available 24 x 7.

Nature of E-Business

- **Digital:** work is done through computers, networks, web & mobile apps.
- **Borderless:** a small shop can reach customers in any country.
- **Information-driven:** data is the main resource; analytics guides decisions.
- **Automated:** orders, invoices, payments, stock updates happen with little manual work.
- **Interactive:** two-way communication with customers (chat, reviews, email).
- **Integrated:** links buyers, sellers, banks, logistics and government.
- **Customer-centric:** personalised offers, quick service, easy feedback.
- **Cost-effective:** no big shop rent, fewer middlemen, less paperwork.

★ Remember: E-business is the BROADER term - it includes e-commerce plus internal and partner processes.

2. Significance of E-Business

- **Global reach:** market grows from a city to the whole world.
- **Round-the-clock service:** the online store never closes.
- **Lower cost:** saves on rent, staff, printing, stock-holding.
- **Speed:** order → payment → delivery tracked in minutes.
- **Better customer service:** FAQs, chatbots, instant support, order tracking.
- **Competitive advantage:** small firms compete with big ones.
- **Data & decision making:** customer behaviour is recorded and analysed.
- **Employment & growth:** new jobs - web developers, digital marketers, delivery staff.
- **Supports Digital India:** UPI, ONDC, GeM, e-governance all rely on e-business ideas.

Functions of E-Business

- **Buying & selling** of goods, services and information online.
- **Marketing & advertising:** websites, SEO, social media, email.
- **Customer support:** help desk, chat, grievance handling.
- **Payment processing:** cards, net banking, UPI, wallets.
- **Order & inventory management:** stock levels updated automatically.
- **Supply chain & logistics:** supplier coordination, shipping, tracking.
- **Finance & accounting:** e-invoicing, GST filing, online banking.
- **HR & training:** online recruitment, payroll, e-learning.
- **Collaboration:** video meetings, cloud documents, intranet/extranet.

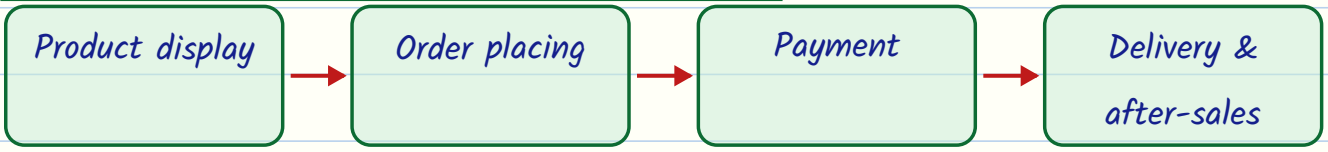
3. Definitions of Electronic Commerce

Electronic Commerce (E-Commerce):

The buying and selling of goods and services, and the transfer of money and data to complete these transactions, over the Internet or other electronic networks.

- Narrow view: only online selling & payment.
- Broad view: all commercial transactions based on electronic processing & transmission of data - text, sound, images.
- Shopping website, ticket booking, online banking, app-based taxi are all e-commerce.

Functions of Electronic Commerce (EC)



- **Information function:** catalogue, price, specifications, reviews.
- **Communication:** email, messaging, chat between buyer & seller.
- **Ordering:** shopping cart, order confirmation, invoice.
- **Payment function:** secure online payment gateways.
- **Delivery:** physical shipping, or digital download (e-books, software, tickets).
- **Customer service:** returns, refunds, warranty claims, tracking.
- **Market research:** collecting feedback, clicks, buying patterns.
- **Advertising & promotion:** banners, coupons, offers, loyalty points.

4. Advantages of E-Commerce

To Organisations (Sellers)

- Low set-up and running cost; no need for physical outlets.
- Access to national and global markets.
- Quick launch of new products and offers.
- Reduced paperwork and inventory cost (just-in-time).
- Customer data helps in personalised marketing.
- Improved brand image and 24 x 7 presence.

To Customers

- Shop anytime, anywhere - home, office, mobile.
- Wide choice and easy price comparison.
- Discounts, cashbacks, coupons.
- Home delivery saves time and travel.
- Reviews and ratings help to choose well.

To Society

- Fewer vehicles on roads → less pollution & traffic.
- Rural people get products and services (online education, telemedicine).
- Government services reach citizens easily.
- Generates employment and supports start-ups.

5. Disadvantages / Limitations of E-Commerce

Technical Limitations

- Needs internet connectivity and good bandwidth.
- Software / website crashes, slow servers, system compatibility problems.
- Security threats: hacking, phishing, data theft, card fraud.

Non-Technical Limitations

- Customer cannot touch, try or inspect the product.
- Delivery delays, wrong or damaged items, return hassles.
- Lack of trust - fake sellers, fake reviews.
- Privacy concerns - personal data is collected and may be misused.
- Digital divide - people without devices or skills are left out.
- Legal issues - taxation, jurisdiction, consumer protection across countries.
- Small shops may suffer from big online competitors.
- High competition and heavy advertising costs.

Quick Compare:

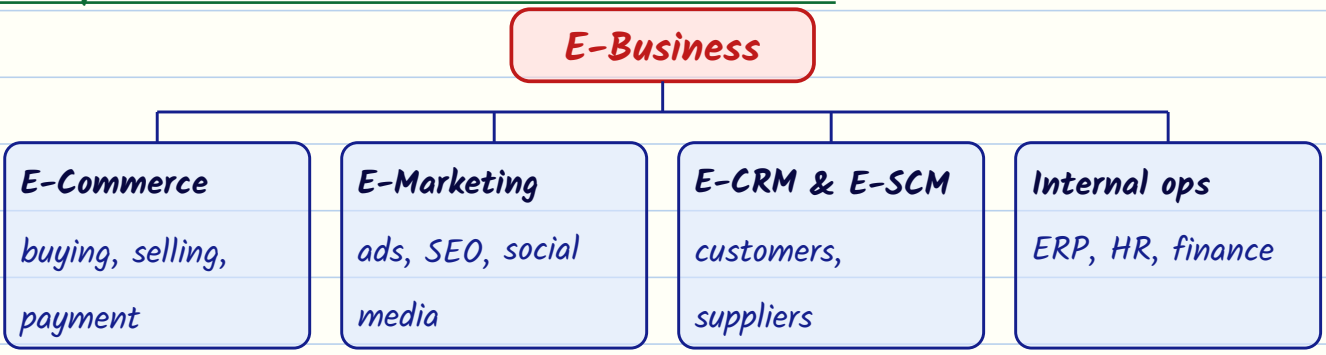
Advantage = convenience, low cost, global reach. Disadvantage = security risk, no physical check, dependence on technology.

6. E-Commerce vs E-Business

Basis	E-Commerce	E-Business
Meaning	Buying & selling online	All business activities done electronically
Scope	Narrow - a part of e-business	Broad - includes e-commerce
Focus	External transactions with customers	Internal + external processes
Parties	Buyer and seller	Customers, suppliers, employees, partners
Needs	Internet, website, payment gateway	Internet, intranet, extranet, ERP, CRM, SCM
Examples	Amazon shopping, IRCTC booking	ERP, online HR, supply chain, e-learning, plus selling
Money	Always involves a transaction	May or may not involve money

★ Key line: All e-commerce is e-business, but all e-business is not e-commerce.

Components of E-Business (the umbrella)



7. Internet Services

Internet:

A worldwide network of networks connected through TCP/IP that lets computers share information.

Main Internet Services used in E-Business

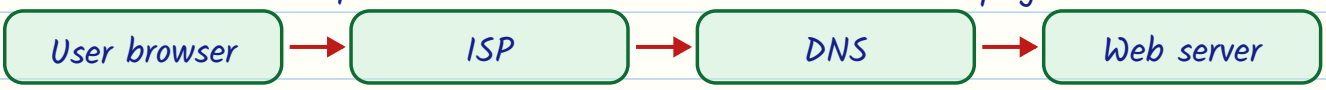
- **E-mail:** fast electronic messages and attachments; used for orders, invoices, notices.
- **World Wide Web (WWW):** web pages linked by hyperlinks, accessed by a browser (HTTP).
- **File Transfer (FTP):** upload / download large files between computers.
- **Telnet / SSH:** log in and control a remote computer.
- **Search engines:** Google, Bing - help customers find products & firms.
- **Chat / Instant messaging:** WhatsApp, live chat, chatbots for support.
- **Video conferencing:** Zoom, Meet - online meetings and demos.
- **VoIP:** voice calls over internet, cheap business calls.
- **Newsgroups / forums / blogs:** discussion, reviews and brand communities.
- **E-banking & payments:** net banking, UPI, wallets.
- **Cloud services:** storage and software on demand (Google Drive, AWS).
- **Social media:** Facebook, Instagram, YouTube, LinkedIn for promotion.

Intranet and Extranet

- **Intranet:** private network inside a company for staff (policies, HR portal).
- **Extranet:** intranet extended to selected outsiders - suppliers, dealers.

Tools used on the Internet

- **Browser:** software to view web pages - Chrome, Firefox, Edge.
- **URL:** address of a page, like https://www.example.com.
- **ISP:** company giving internet access - Jio, Airtel, BSNL.
- **Domain name:** easy name for an IP address (DNS converts it).
- **Web server:** computer that stores the site and serves pages.



8. Online Shopping

Online Shopping:

Buying goods or services directly from a seller over the Internet using a web browser or mobile app (also called e-tailing).

Steps in Online Shopping



- **Search:** find a product by category, name or filter.
- **Compare:** price, features, ratings and seller.
- **Cart:** items stored until purchase.
- **Payment:** card, UPI, net banking, wallet or Cash on Delivery (COD).
- **Order tracking:** SMS / email updates with a tracking id.
- **Return & refund:** as per the return policy.

Advantages of Online Shopping

- Convenient, saves time, no crowds, open 24 x 7.
- More variety and lower prices; offers and festival sales.
- Easy comparison; user reviews.
- Gifts can be sent to another city.

Disadvantages

- Cannot try or touch; size / colour mismatch.
- Risk of fraud, fake products, data leak.
- Delivery delay and shipping cost.
- Returns can be difficult.

Popular Indian Examples

Type	Examples
General marketplace	Amazon India, Flipkart, Meesho
Fashion	Myntra, Ajio, Nykaa
Food & grocery	Swiggy, Zomato, BigBasket, Blinkit
Travel & tickets	IRCTC, MakeMyTrip, RedBus
Government e-market	GeM (Government e-Marketplace)

9. E-Commerce Opportunities for Industries

Meaning:

E-commerce gives every industry new ways to sell, to cut cost, to reach customers and to serve them better.

Industry opportunities

Retail	Banking & finance	Travel & tourism	Education
online stores, marketplaces, D2C brands	net banking, UPI, e-wallets, insurance	ticket, hotel, tour booking	online courses, e-books, MOOCs

Industry-wise Opportunities

- **Retail & FMCG:** online outlets, home delivery, quick commerce, direct-to-consumer brands.
- **Banking & insurance:** internet banking, mobile apps, online policy purchase and claims.
- **Travel & hospitality:** booking flights, trains, hotels; dynamic pricing; reviews.
- **Education & training:** virtual classrooms, online degrees, e-certification.
- **Healthcare:** tele-consultation, e-pharmacy, online reports, health apps.

- **Manufacturing:** online ordering of raw materials, supplier portals, B2B trade, direct sale to customers.
- **Agriculture:** e-NAM, online mandi prices, selling produce directly, farm input buying.
- **Entertainment & media:** OTT streaming, e-books, music apps, online gaming, digital news.
- **Real estate:** property listing, virtual tours, online rent / booking.
- **Government:** e-governance, online tax, GeM, DigiLocker, e-tendering.
- **Logistics:** tracking, warehouse automation, last-mile delivery apps.
- **Small & medium business:** easy selling through marketplaces, social media shops, ONDC.

Benefits to Industry

- New markets and more revenue sources.
- Lower marketing and operating cost.
- Faster product cycles and quick feedback.
- Better supplier and dealer coordination.
- Mass customisation - products tailored to each customer.

Challenges for Industry

- Security and trust issues; need for skilled staff.
- Logistics, packaging and return management.
- Legal rules - GST, consumer protection, IT Act 2000.

10. Quick Revision - Unit I

- E-business = all business activities done electronically; e-commerce = online buying / selling only.
- Functions of EC: information, ordering, payment, delivery, support, marketing.
- Advantages: reach, 24 x 7, low cost, convenience. Disadvantages: security, trust, no physical check.
- Internet services: email, WWW, FTP, chat, VoIP, search, cloud, social media.
- Online shopping flow: search → cart → checkout → payment → delivery → feedback.
- Opportunities: retail, banking, travel, education, healthcare, manufacturing, agriculture, media, government.

Likely Exam Questions

- Define e-business. Explain its nature and significance.
- Distinguish between e-commerce and e-business.
- Explain advantages and disadvantages of e-commerce.
- Describe the internet services useful for e-business.
- Discuss e-commerce opportunities for industries.

Learning Outcomes Check

- I can explain the concept of e-business.
- I can compare e-commerce and e-business.
- I can evaluate e-commerce opportunities for industry.